

SOP-003: Liability, Indemnification, and Risk Allocation Review

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Owner: Example Corp — Risk Management & Legal
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1. PURPOSE

This SOP establishes Example Corp’s requirements for liability caps, indemnification obligations, insurance, and general risk allocation in partner contracts. The review agent must verify all contracts meet these minimums.

2. LIMITATION OF LIABILITY

2.1 Minimum Liability Cap (Mandatory)

Provider’s aggregate liability must equal or exceed:

Contract Value	Minimum Liability Cap
Under \$100,000	1x contract value
\$100,000 – \$500,000	1x contract value
\$500,000 – \$2,000,000	0.75x contract value
Over \$2,000,000	Negotiable (minimum \$1,500,000)

2.2 Prohibited Liability Terms — Flag as CRITICAL

- Liability cap below **50% of contract value**
- Liability cap set at an arbitrary low dollar figure unrelated to contract value
- Provider liability capped but no corresponding cap on Example Corp’s liability
- Liability cap excludes provider’s core obligations (deliverable quality, data handling)

2.3 Consequential Damages

- Mutual waiver of consequential damages is acceptable
 - **One-sided waiver** (only provider protected) is flagged as HIGH severity
 - Data breach and IP infringement should be **carved out** from consequential damage waivers
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3. INDEMNIFICATION

3.1 Required Provider Indemnification

Provider MUST indemnify Example Corp for: - IP infringement claims arising from deliverables
- Data breaches caused by Provider's negligence - Third-party bodily injury or property damage -
Provider's violation of applicable law - Claims from Provider's subcontractors

3.2 Indemnification Balance

- Indemnification obligations must be **mutual and proportional**
- Each party indemnifies for claims arising from their own acts/omissions
- No party should indemnify the other for the other party's own negligence

3.3 Prohibited Indemnification Terms — Flag as CRITICAL

- Example Corp indemnifying Provider for Provider's own negligence
 - One-sided indemnification obligations (only Example Corp indemnifies)
 - Unlimited indemnification obligations on Example Corp
 - Indemnification for "all claims arising from the agreement" (overbroad)
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4. INSURANCE REQUIREMENTS

4.1 Minimum Coverage (Mandatory for contracts over \$100,000)

Provider must maintain and provide proof of:

Insurance Type	Minimum Coverage
Commercial General Liability	\$2,000,000 per occurrence
Professional Liability (E&O)	\$5,000,000 aggregate
Cyber Liability	\$5,000,000 aggregate
Workers Compensation	Statutory limits

4.2 Insurance Provisions Required

- Certificate of insurance provided within 10 days of execution
- Example Corp named as additional insured
- 30-day advance notice of cancellation or material change
- Coverage must remain in effect for 2 years post-termination

4.3 Insurance Red Flags — Flag as HIGH

- No insurance requirements specified
- No proof of coverage required
- No minimum coverage amounts defined
- Example Corp not named as additional insured
- No post-termination coverage tail

5. TERMINATION AND WIND-DOWN

5.1 Termination Notice Period

- Minimum **30 calendar days** written notice for termination for convenience
- Termination for cause: Minimum **15 calendar days** cure period required

5.2 Cure Period (Mandatory)

- All termination-for-cause clauses **MUST** include a cure period
- Minimum cure period: **15 calendar days** for non-material breaches
- Minimum cure period: **30 calendar days** for complex/material breaches
- Immediate termination only permitted for: fraud, criminal activity, or insolvency

5.3 Termination Red Flags — Flag as HIGH

- Termination notice under 30 days
 - No cure period before termination for cause
 - Termination at will with less than 14 days notice
 - No wind-down or transition assistance obligations
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6. FORCE MAJEURE

6.1 Acceptable Force Majeure Terms

- Specific enumeration of qualifying events (natural disaster, war, government action, pandemic)
- Maximum suspension period: **90 days** before either party may terminate
- Obligation to resume performance when event concludes
- Notification within **48 hours** of force majeure event
- Pro-rata refund of fees for suspended services

6.2 Force Majeure Red Flags — Flag as HIGH

- Overly broad or vague force majeure definitions
 - Provider sole discretion in declaring force majeure
 - No maximum suspension period
 - No refund obligation during suspension
 - No termination right after extended force majeure
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7. SEVERITY CLASSIFICATION

- **CRITICAL:** Liability cap below 50% of contract value; indemnifying provider for their negligence
- **HIGH:** No cure period; no insurance requirements; termination under 30 days notice

- **MEDIUM:** Consequential damages not carved out for data/IP; insurance below minimums
 - **LOW:** Minor wording issues in risk allocation provisions
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8. AGENT REVIEW INSTRUCTIONS

When reviewing liability and risk terms: 1. Calculate liability cap as a percentage of contract value 2. Verify indemnification is mutual and proportional 3. Confirm insurance types and minimums are specified 4. Check termination notice period (minimum 30 days) 5. Verify cure period exists for termination for cause 6. Review force majeure scope and limitations 7. Flag any one-sided risk allocation as HIGH or CRITICAL 8. Generate findings with specific dollar amounts and ratios where applicable